



Canada Goose Holdings Inc (TSE: GOOS)

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Recommendation: SELL



Company Overview

Investment Thesis

Appendix

Company Overview



CANADA GOOSE®

Business Model

Best known for its **luxurious down-filled jackets**, Canada Goose designs, manufactures, and sells **premium outerwear, apparel, footwear, and accessories** targeting **affluent** consumers willing to pay **premium prices** for **quality** and brand prestige.

77

stores
worldwide

Down filled outerwear:

- Highest proportion historically
- Highest margin

Foot-wear

**Lightweight
jackets**

**Premium
apparel**

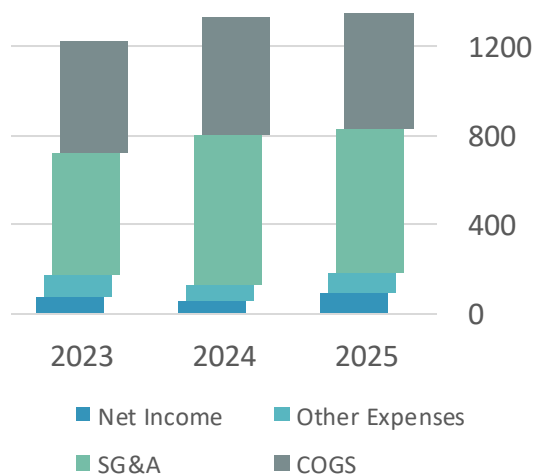
Rain-wear

New product
categories:

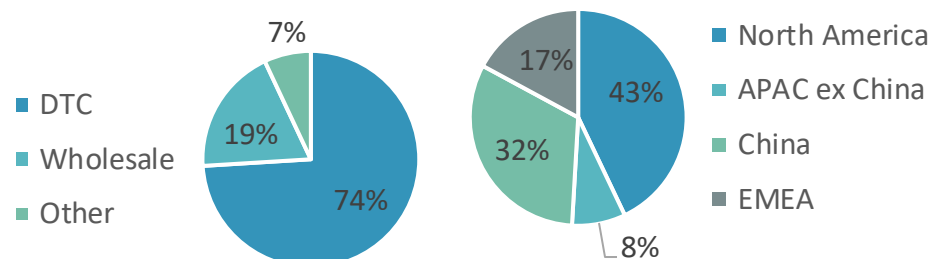
Financials

Share Price	\$18.77
52 Week High / Low	\$21.28 / \$9.54
Beta 5Y	1.92
Market Cap	\$1.82B
P / E	72.19x
EPS	\$0.26
Revenue	\$1,352 MM
Net Income	\$94.8 MM

Revenue & Income breakdown



Revenue Split



High cyclicality

83.3%

of DTC revenue
in Q3-Q4

FX Exposure

70.5%

of revenues in
non-CAD
currencies

Industry Overview



1

Luxury Market slowdown: Global luxury market contracted in 2024, losing 50mm customers from 2022-24

2

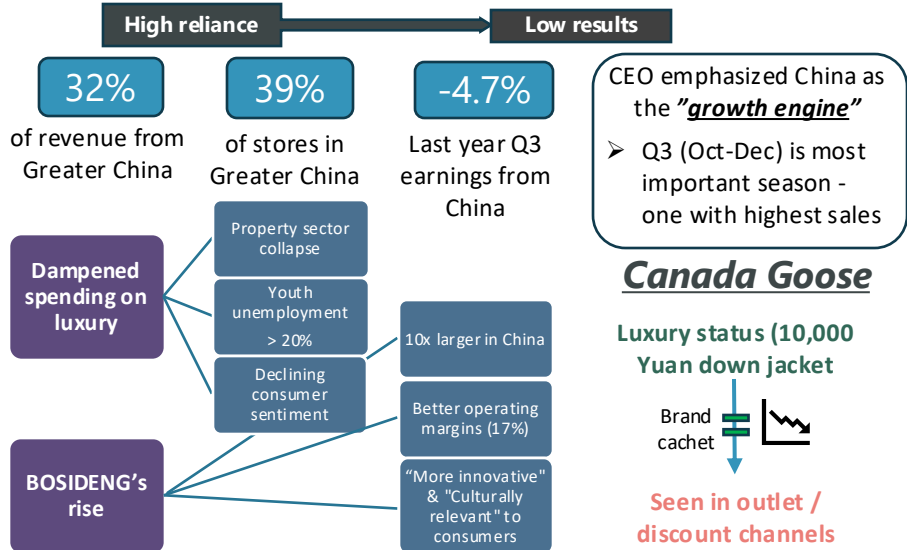
China went from fastest growing luxury market to luxury spending falling 20% in 2024

3

Increased competition in both down-filled jackets and active outerwear, with shifts to more year-round products



Structural Loss of Foothold in China

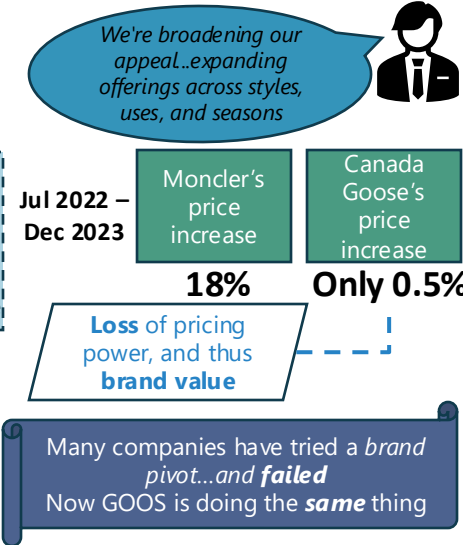


Shift towards other products

Margin Loss



Brand Dilution



Extremely Competitive Landscape

Companies & their market positioning

Tier 1		
 MONCLER®	 ARC'TERYX	 patagonia
"Fashion luxury" leader - Pre-existing fashion credibility + celebrity collaborations	- Technical performance leader - Young consumers & affluent outdoor enthusiasts	- Sustainability & ethical sourcing - Appeal to conscious consumers
Tier 2		
 波司登 BOSIDENG	 THE NORTH FACE	 (Fast-fashion) H&M ZARA GAP
- Dominates China market - Price-conscious luxury consumers	- Mass market premium - Similar products at lower price - Material innovation competition	"Good enough" products at fraction of the price - Can copy silhouettes quickly

Overall, it faces competitive pressure as others already own specific positionings, and it's trying to enter commodity categories where it has no competitive advantage.

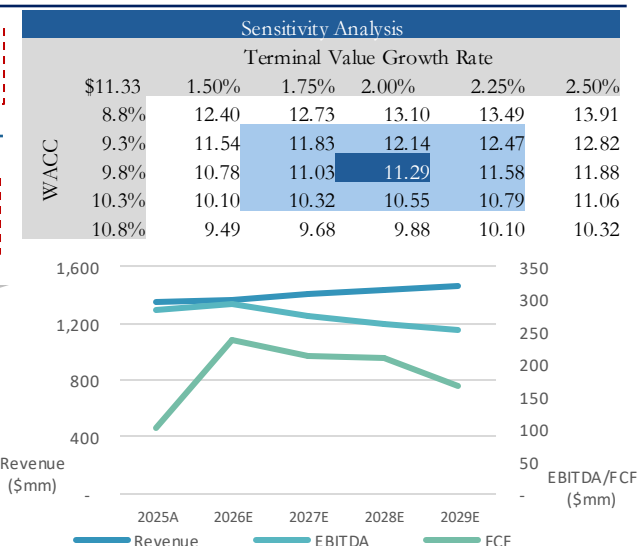
Valuation Model

Implied Equity Value = \$1.10 Billion

Shares Outstanding = 97 Million

Implied Share Price = \$11.33

≈ 40% downside





Appendix I: FCF Calculations with Assumptions

Appendix II: WACC, Implied Share Price, & Sensitivity Analysis

FCF Calculation with Assumptions

Appendix I



CANADA GOOSE®

Unlevered Free Cash Flow (mm)	1	2	3	4	5				
Fiscal Year	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	1,098	1,217	1,334	1,348	1,365	1,406	1,434	1,463	1,492
COGS	365	402	416	405	437	464	488	512	537
Selling General & Admin Exp.	477	566	636	660	637	667	684	698	707
Other Expenses	--	--	--	--	--	--	--	--	--
Total Operating Expenses	842	968	1,053	1,066	1,074	1,132	1,172	1,210	1,244
EBITDA	257	249	281	283	291	275	263	253	248
Depreciation & Amort.	89	100	116	122	116	113	108	105	101
Operating Profit (EBIT)	168	149	165	161	175	162	154	149	147
Income Tax Expense	23	25	18	25	25	23	21	21	20
NOPAT	145	124	147	137	151	139	133	127	126
(+) Depreciation & Amortization	89	100	116	122	116	113	108	105	101
(-) Capital Expenditures	35	45	55	18	42	40	36	31	34
(-) Change in NWC		30	(103)	139	(11)	0	(3)	35	5
NWC	481	511	408	547	535	536	532	567	571
Current Assets	762	863	741	875	890	902	896	939	955
Current Liabilities	282	352	333	328	355	366	363	372	384
Unlevered Free Cash Flow	199	149	312	102	236	212	209	167	189
PV of FCF					215	176	158	115	119

Assumptions	1	2	3	4	5				
Fiscal Year	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue Growth	0%	11%	9%	1%	1%	3%	2%	2%	2%
COGS as % of Revenue	33.2%	33.0%	31.2%	30.1%	32.0%	33.0%	34.0%	35.0%	36.0%
SG&A % of Revenue	43.43%	46.52%	47.71%	48.96%	46.7%	47.5%	47.7%	47.7%	47.4%
Tax % of EBIT (Effective Tax Rate)	13.8%	16.6%	10.7%	15.2%	14.0%	14.1%	13.5%	14.2%	14.0%
D&A as % of EBITDA	34.6%	40.3%	41.3%	43.0%	39.8%	41.1%	41.3%	41.3%	40.9%
CAPEX as % of EBITDA	13.4%	18.2%	19.5%	6.3%	14.3%	14.6%	13.7%	12.2%	13.7%
Current Assets as % of Revenue	69.4%	70.9%	55.5%	64.9%	65.2%	64.1%	62.4%	64.2%	64.0%
Current Liabilities as % of Revenue	25.6%	29.0%	25.0%	24.4%	26.0%	26.1%	25.3%	25.4%	25.7%

WACC, Implied Share Price, & Sensitivity Analysis

Appendix II



CANADA GOOSE®

Unlevered Free Cash Flow (mm)									
Fiscal Year	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Unlevered Free Cash Flow	199	149	312	102	236	212	209	167	189
Projection Year					1	2	3	4	5
Present Value of Free Cash Flow					215	176	158	115	119

Weighted Average Cost of Capital (WACC)	
Total Debt (mm)	794
Market Cap (mm)	1,840
Cost of Debt	4.8%
Tax Rate	21.0%
D/(D+E)	30.1%
After Tax Cost of Debt	3.8%
Risk Free Rate (10 Year US Treasury Rate)	4.1%
Equity Risk Premium	4.3%
Beta	1.92
E/(D+E)	69.9%
Cost of Equity	12.4%
WACC	9.8%

Implied Share Price Calculation		
Sum of PV of FCF		782
PV of Terminal Value		778
Enterprise Value		1,560
(+) Cash		334
(-) Debt		794
(-) Minority Interest		0
Equity Value		1,100
Shares Outstanding (mm)		97
Implied Share Price	\$	11.33
Current Share Price	\$	18.89
Implied Upside		-40%

Sensitivity Analysis						
		Terminal Value Growth Rate				
	\$11.33	1.50%	1.75%	2.00%	2.25%	2.50%
WACC	8.8%	12.40	12.73	13.10	13.49	13.91
	9.3%	11.54	11.83	12.14	12.47	12.82
	9.8%	10.78	11.03	11.29	11.58	11.88
	10.3%	10.10	10.32	10.55	10.79	11.06
	10.8%	9.49	9.68	9.88	10.10	10.32

Terminal Value Calculation	
Terminal Value Growth Rate	2%
WACC	9.8%
Terminal Value (Gordon Growth)	2,479
PV of Terminal Value	1,555